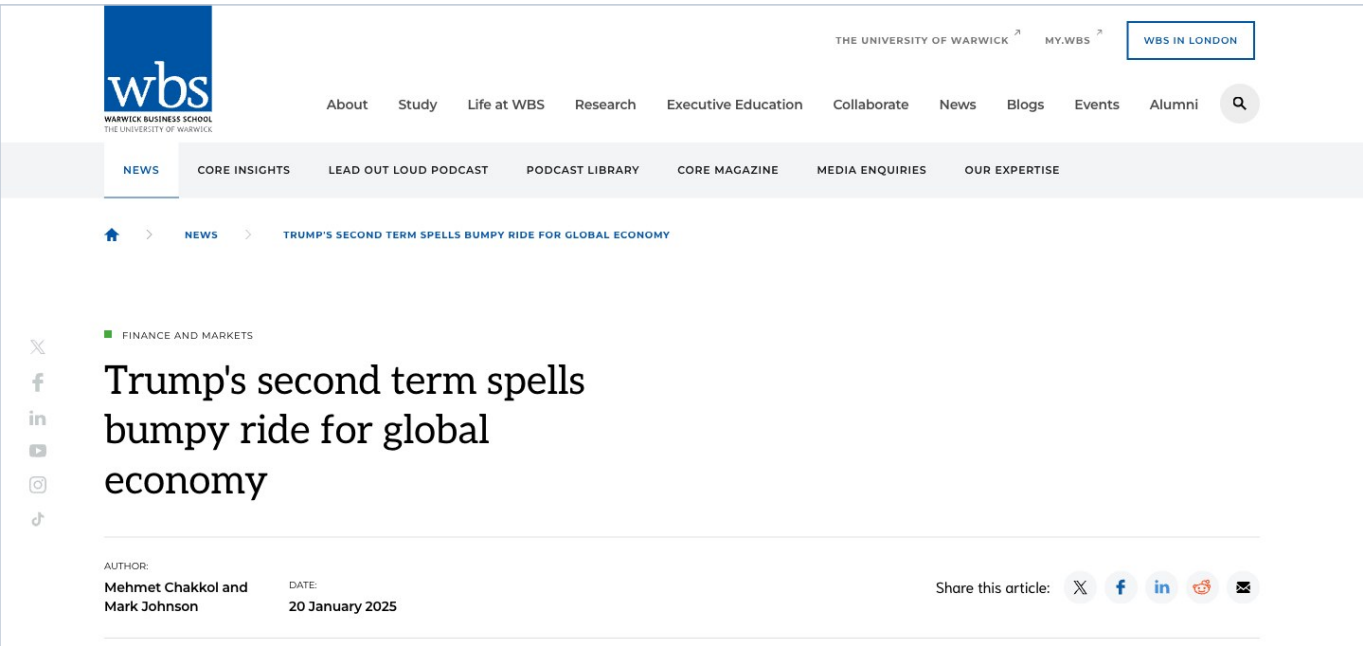
Warwick Business School

«Trump's second term spells bumpy ride for global economy»

20 January 2025 · English · By Mehmet Chakkol and Mark Johnson. Not named; reports the study.

https://www.wbs.ac.uk/news/trumps-second-term-spells-bumpy-ride-for-global-economy/

Research. Chakkol, M., Johnson, M., Karatzas, A., Papadopoulos, G. and Korfiatis, N. (2024). Making Supply Chains Great Again: Examining structural changes to US manufacturing supply chains. *International Journal of Operations and Production Management*, 44(5), 1083-1108.



When the tariff-brandishing Donald Trump is sworn in as the 47th US President today, companies all around the world will be wondering what will happen to their supply chains.

The omens are not good. In research we conducted on Trump's first tenure as President from 2017 to 2021, we discovered that there were unintended consequences to his 'America First' policy.

In order to reduce reliance on foreign firms and create high-value sources of supply and jobs, firms were encouraged to re-shore manufacturing – that is, bring production and manufacturing back to their home country. But the initiative did not have its desired effect. Instead, low-value jobs were created, with high value jobs staying overseas where there were sources of expertise and capability.